“The Squeeze” by John Carter
The King of Volatility Indicators

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Welcome!

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TTM Squeeze Indicator

John Carter, a renowned trader and author, has contributed significantly to the field of technical analysis with his innovative trading strategies and indicators. One of his notable contributions mentioned in his book *"Mastering The Trade"* is the volatility indicator called **"The Squeeze."** This indicator is designed to identify periods of low volatility and anticipate potential explosive price movements in the financial markets.

“The Squeeze" Concept

- "The Squeeze" is a volatility-based indicator to help traders identify periods of low volatility, which often precede high volatility breakouts. It aims to capture potential explosive moves in price, assisting traders in taking advantage of significant market shifts.
- The indicator is based on the idea that markets alternate between low and high volatility periods. When volatility is low, it is similar to a coiled spring, indicating an imminent price move. As the market consolidates, building up pressure, it sets the stage for a breakout or a "squeeze" in price.
- When the indicator “fires,” this confirms that volatility is increasing, and prices are likely to break out of their tight trading range in one direction or another.

Components of "The Squeeze" Indicator

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"The Squeeze" indicator incorporates several technical components to identify low volatility periods and potential breakouts. The primary elements include:

1. Bollinger Bands: Bollinger Bands measure volatility and consist of an upper and lower band of standard deviation and a middle band based on a moving average.
2. Keltner Channels: Keltner Channels are similar to Bollinger Bands but use the Average True Range (ATR) instead of standard deviation. They measure volatility by encompassing price action within upper and lower channels.
3. Momentum Histogram: John Carter's "The Squeeze" employs a momentum oscillator histogram, such as the traditional MACD (Moving Average Convergence Divergence) or a custom oscillator. The histogram helps to confirm price momentum and identify the direction of the potential breakouts.

Using "The Squeeze" Indicator

To effectively utilize "The Squeeze" indicator, traders follow a systematic approach:

1. Identifying the Squeeze: Look for a period when the Bollinger Bands move inside the Keltner Channels, indicating low volatility and a potential squeeze represented by the red squeeze dots.
2. Patience and Confirmation: Wait for the green squeeze dot to “fire.” Then use the momentum oscillator to confirm a signal break out.
3. Taking a Position: Once the squeeze is confirmed, traders consider taking a position in the direction of the histogram breakout. Above the zero line, they enter a long position and below a short position.

Managing Risk

As with any trading strategy, it is crucial to implement proper risk management techniques. Consider setting stop-loss orders to protect against adverse price movements and trailing stops to secure profits.

1. Initial risk could be measured by the high or low of the bar that “fired,” setting the stop opposite of the direction of the trade.
2. Price moves after a squeeze fires tend to last for 7-10 bars. When the histogram changes color and starts moving back toward the zero line, consider exiting the trade.
3. Carter recommends exiting the trade when you've had two bars in the new color. For example, if the squeeze fires and the bars are light blue (above the zero line and increasing), he recommends selling when you see two dark blue bars (above the zero line and decreasing) in a row.

Takeaway

The TTM Squeeze indicator may be complicated in its components, but **Barchart's** template makes it simple to read and react. Traders need only wait for "***The Squeeze***" to "fire" and ride the histogram wave to profitability.

Remember, there is no such thing as a perfect indicator, and risk management is always paramount. However, traders can rely on this indicator's probability with a higher time frame analysis.

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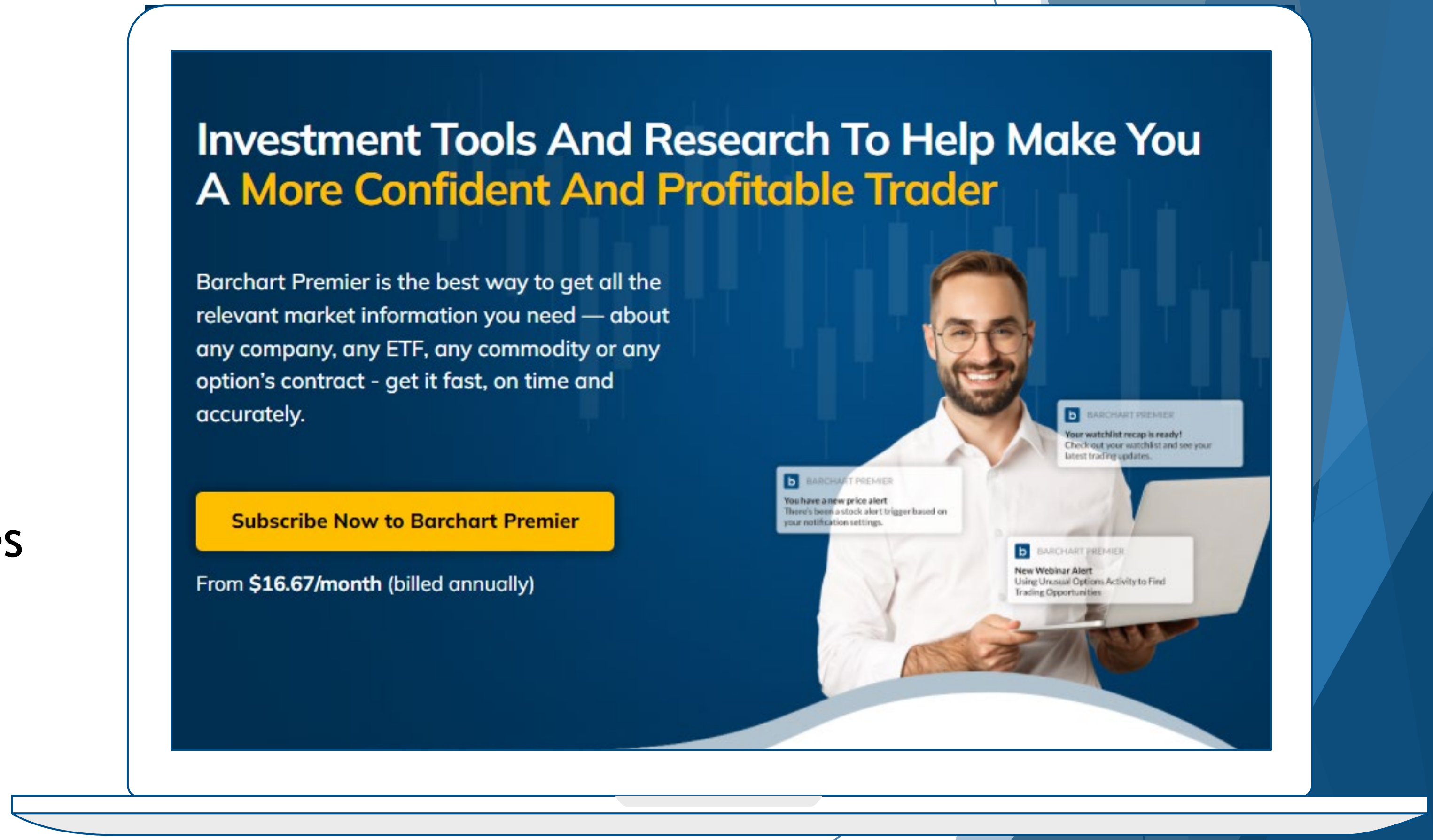

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